CHAPTER 5 · 1980–2010 · UNIT 3 IN THE COURSE

CODIFY

cod·i·fy (verb) the standardization of something

By 1980, retirement had spent thirty years looking like it worked so we codified it. Again, this is a word we don't often use in our daily vocabulary but it is powerful in this context. Simply put, to codify something is to systematize and standardize it. This is what we, today, have come to know retirement to be. So how did it happen.

What the previous era produced — the golden retirement of 1950 to 1980 — was an anomaly. Not a design. Not a proof of concept. Not a model that had been studied, understood, and deliberately constructed. An anomaly: a convergence of conditions so specific, so historically unrepeatable, that the system appeared to function not because it was well-built but because everything around it was temporarily cooperating.

The conditions were real. Sixteen workers for every Social Security beneficiary. Retirements that lasted ten years, not thirty. Healthcare costs that were manageable. A generation of workers whose lives had been shaped by depression and war and who asked for very little. Defined-benefit pensions funded by the most profitable industrial economy in human history. Five social pillars — family, church, employer, government, similarity — all intact simultaneously, all bearing weight together. It worked. For thirty years, it worked.

But an anomaly is not a model. A model is what you build when you study an anomaly — when you ask what conditions produced this, which of those conditions can be replicated deliberately, and how you construct systems that honor the underlying dynamics rather than depend on the accident. The golden era was never studied this way. The question was never asked.

I still don't believe it has been asked. I may be the only one, especially the only one from within the financial services industry, asking. Why did we not study this? Why have we not put these time periods under the microscope in this way? Why has it taken until now and this book to provide "the kick" needed to wake us up? Why did we not model the anomaly?

Why? Because as long as the anomaly persisted, no one needed to understand it. It simply worked, the way a watch keeps time without anyone needing to know the mechanics.

Then the conditions disappeared. The anomaly was ending. The question of what to replace it with should have been the defining policy question of the era.

It was never asked.

Instead, something else happened. Something that would prove to be the decisive act of the Codify era: the anomaly was not replaced with a model. It was replaced with a counterfeit that came in the form of accounts, individualism and the rise of shareholders. Broadly, there grew "the game" of retirement and "the industry."

One representative piece was the 401(k) account. To be honest, the 401(k) can be a type of scapegoat because it fits so nicely and is very representative. It is a much larger thing than how this particular tax code of the 1970's was used. Nonetheless that is what a scapegoat was used for in the past as a representative sacrifice for the broader 'sins.' The 401(k) was and is an individual savings mechanism. A tax deferral. A fee structure. A critical piece to an industry built around accumulation. Fundamentally, none of these things were retirement — not in any meaningful sense of what that word had meant for thirty years. They did not pool risk. They did not guarantee income. They did not guarantee security. They did not protect the individual from the catastrophic uncertainty that community arrangements exist to absorb.

Yet, this tax code was labelled retirement.

This is the crime of the Codify era. Not that the new system was imperfect. Not that the transition was difficult. The crime is that the anomaly that could have been a model was instead replaced by something that wore the original's name while sharing none of its substance. The word stayed. The thing it described was quietly, thoroughly, replaced.

No announcement. No debate. No acknowledgment that what was being codified bore only cosmetic resemblance to what it claimed to be.

A generation of Americans were handed a counterfeit and told it was the original. The rules changed. Nobody said a thing. Here is where the conflation became complete.

THE GREAT RISK TRANSFER: HOW THE GAME CHANGED

Understanding what the 401(k) did and what it symbolically represents requires understanding what it replaced — and why replacing it with something structurally opposite while keeping the same name was a defining act of the era.

The defined-benefit pension was a community instrument dressed in corporate clothes. An employer promised a worker: work here for thirty years, and we will pay you a guaranteed monthly income for the rest of your life. The company bore the investment risk, the longevity risk, the inflation risk. Actuaries ran the numbers across thousands of employees. Risk was pooled. The individual retiree was protected from the catastrophic uncertainty of personal portfolio management because they were part of something larger than themselves.

By the early 1980s, two-thirds of American workers had defined-benefit pension plans. Then came the 401(k). And the word retirement was quietly transferred to describe something that shared none of these features.

No pooled risk. Individual accounts, bearing individual volatility. No guaranteed income. A balance that could grow or collapse depending on markets, decisions, timing, and luck. No institutional accountability. A matching contribution the employer could reduce or eliminate at will. No collective protection. You, alone, managing your own financial future with instruments you had never been trained to use.

This was not retirement. It was savings with a retirement-shaped label. But the label was everything — because the label allowed the substitution to happen without acknowledgment.

American corporations in the 1980s were under enormous pressure: global competition, rising labor costs, shrinking margins. Pension obligations showed up on balance sheets as massive liabilities. When 401(k) plans offered an alternative, corporate finance departments recognized immediately what they were looking at: a legal mechanism to transfer decades of financial risk from the institution to the worker, while framing the transfer as liberation.

“You don’t want to be tied to one company for your whole career. You want control over your own destiny. You want to choose your own investments.”

It was the rhetorical triumph of the era. The language of autonomy — control, flexibility, portability, choice — was deployed to disguise what was actually happening: the largest transfer of financial risk in American history. From institutions that could handle that risk to individuals who could not. And they sold it as freedom.

This is not a savings problem. It never was. It is a game problem. The rules of the game were rewritten in 1978, and the players were not informed. Workers kept showing up to play the old game while the institution had already left the field.

THE IDEOLOGY: INDIVIDUALISM AS CIVIC VIRTUE

The 401(k) did not arrive in a political vacuum. It arrived in the Reagan revolution.

Reagan's first inaugural address crystallized it: "Government is not the solution to our problem; government is the problem." Margaret Thatcher's version was "There is no such thing as society" which has often been interpreted as an "every man for themselves" sentiment that is a seed of this time period. What both articulated — and what the economic consensus of the era absorbed wholesale — was that collective arrangements were either inefficient or immoral, and that individual initiative, individual saving, individual responsibility were not just practical necessities but expressions of personal virtue. You and your own bootstraps.

In this ideological climate, converting workers from pension recipients to individual investors was not a corporate cost-cutting maneuver. It was moral progress. The retiree who managed her own 401(k) was exercising her freedom. The company that terminated its pension plan was liberating its workforce from dependency.

Natural order economics sees this clearly as the violation it was. The natural order principle of community — that risk should be distributed, that no individual should bear alone what a community can distribute — was not replaced by something better. It was replaced by an ideology that redefined bearing risk alone as strength.

THE INDUSTRY: SELLING TICKETS TO A DESTINATION THAT NO LONGER EXISTS

You cannot transfer risk to individuals without an industry to manage the transfer.

Between 1980 and 2010, the financial services industry grew from a back-office function of corporate America into one of the dominant sectors of the economy. Assets under management in mutual funds grew from $135 billion in 1980 to $11.9 trillion in 2010. The opening voice over narrative of the movie The Big Short captures this all too well.

> *In the late seventies banking was not a job you went into to make large sums of money. It was a good stable profession like selling insurance or accounting...And America barely noticed as its number one industry became boring old banking. Then one day...almost thirty years later... in 2008... It all came crashing down.*

I need to say something here as someone who works and operates inside this industry: we were not building strategies for the people who needed them. We were perfecting strategies for a world that was disappearing, and selling them as universal truth that will always work.

The financial advice industry became, in these thirty years, a modern-day equivalent of an assembly line factory profession. We perfected strategies for complete work cessation at 65 in a world where complete work cessation at 65 was becoming mathematically impossible for most Americans. We optimized withdrawal rates from multi-million-dollar portfolios for people who would never accumulate multi-million-dollar portfolios. We kept selling the dream of golf and grandchildren to people who were going to be working until they died.

We were travel agents for a country that was falling off the map and we just kept doing the exact same thing.

This is where "your number" was born. "Your number" — the single dollar figure you need to retire comfortably — became the central organizing myth of the Codify era. It was elegant, marketable, and wrong in almost every way that mattered. It assumed individual portfolio performance could substitute for institutional risk pooling. It assumed healthcare costs were predictable. It assumed longevity was manageable.

Most importantly, "your number" transformed the question of retirement from a social question to a personal one. "How do we ensure our aging population is cared for?" became "Did you save enough?" The moral failure of a system that produced mass retirement insecurity was reframed as individual financial inadequacy. The structural problem became a character problem.

THE NUMBERS THAT SHOULD HAVE STOPPED US

The evidence was available. It was simply not heeded.

The median 401(k) balance was consistently and catastrophically below what anyone's retirement math required. A household approaching retirement needed — at minimum, by the industry's own calculations — somewhere between $500,000 and $1,000,000 to sustain twenty to thirty years of modest income. Actual median balances for workers ages 55–64 hovered around $80,000 to $120,000 throughout the 1990s and 2000s.

This was not a gap. This was a chasm. And it was a chasm that the structure of the system had made mathematically inevitable.

The 401(k) system worked for workers who were consistently employed at companies with matching contributions, who earned enough that they had discretionary income to save, who had the financial literacy to allocate investments appropriately, who avoided catastrophic healthcare events. These workers existed. They were not the median. They were not the majority.

You cannot save your way out of a rigged system. That is not a political statement. It is an arithmetic one. Think about the often thrown around target of $1 million as the goal nest egg for retirement. Now pair that with the reality that only 3% ever retire make that target.

WHAT CODIFY LEAVES BEHIND

A chapter called Codify should end with what was codified — and what was lost in the act of codification.

The anomaly of 1950 could have been a model. That is the tragedy this chapter must carry. It was not inevitable that the end of the anomaly produced a counterfeit. The anomaly could have been studied. Its underlying dynamics could have been identified: pooled risk, guaranteed floors, contribution sustained across the lifespan. Systems could have been built that honored those dynamics deliberately rather than accidentally.

Instead, between 1980 and 2010, American society codified five things that would prove catastrophic. It codified individual responsibility for collective risk. It codified accumulation as the measure of retirement readiness. It codified work as something to escape. It codified the ideology of independence. It codified age 65. It codified leisure as the escape. And it codified the name — transferring the word “retirement” from the thing it had described to the thing that replaced it, ensuring that most people would never realize what had happened.

Are you watching closely?

All along this history seeds were planted and allowed to grow unchecked and unexamined.

The workers went to bed in one system and woke up in another, and both systems had the same name.

The system did not break. It arrived. Everything that happens next was written in these thirty years.

All of this leads to those that are age 60 in 2010 and those entering the workforce in 2010. If this book is a kick, 2008 for those people is a UFC fight.